

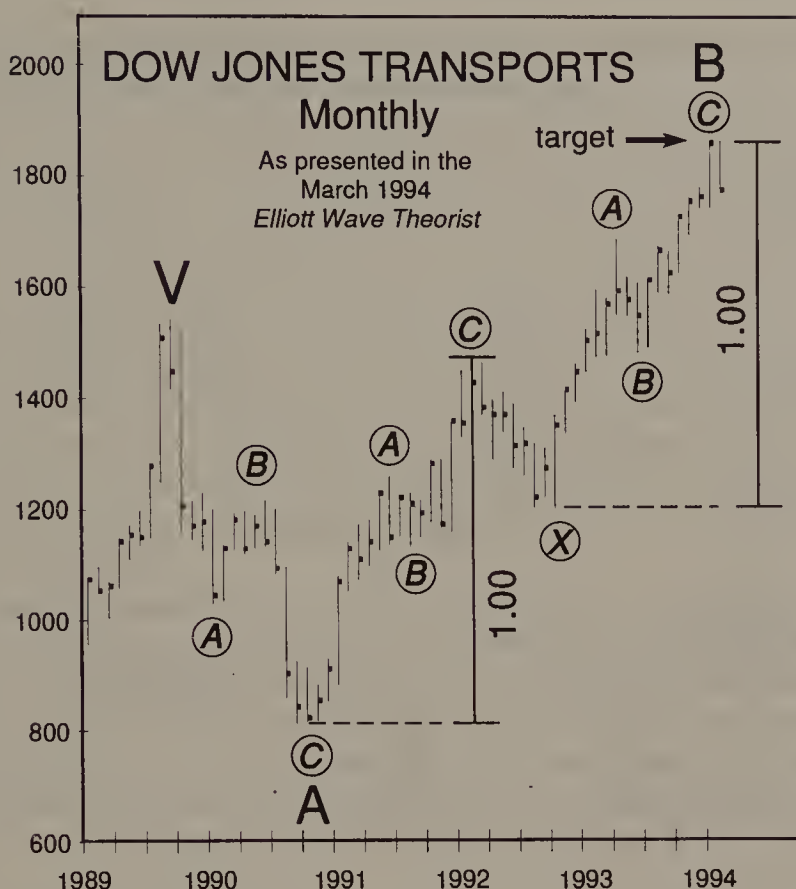


Figure 6-6

eight years. As shown in Figure 6-7, the three-wave moves dating at least back to the 1989 high suggest that a diagonal triangle has been in the making ever since the crash low of 1987. (For a picture of the ideal pattern, see the illustration in the inset.) Although uncharacteristically large, its internal construction is perfect. In waves (2), (3) and (4), each subwave $C = A$ and $Y = W$, which is so commonly the case that it was the basis for *The Elliott Wave Theorist's* forecast for the 1994 top at 1863.

A study of the market's relative strength supports the case that wave V is a diagonal triangle, which by nature is a weaker pattern than a standard impulse. From the 1974 low to the 1989 high, the DJTA had relentlessly outperformed the Industrials, rising 1145% to the Dow's 393%. From there, however, the Transports turned down eleven months before the Industrials and fell over twice as far into 1990. At the 1994 high, the Transports had exceeded their old